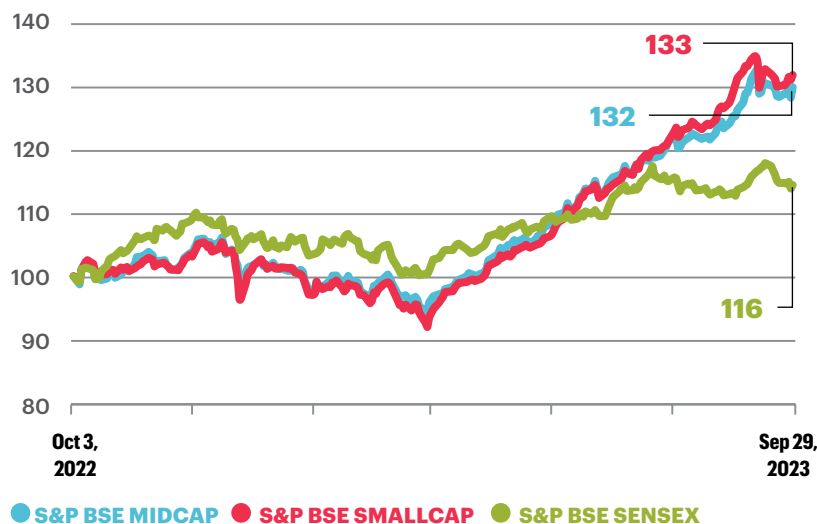


SMALL IS BEAUTIFUL

➤ The broader markets outpaced large-caps during the study period for the BT500 list this year

➤ The Sensex advanced 15 per cent, while the mid-cap and the small-cap indices gained nearly 30 per cent each



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while Punjab & Sind Bank witnessed a rise of 26 per cent.

Following closely on the list of top gainers in terms of one-year average m-cap are Varun Beverages (up 98 per cent), Kalyan Jewellers India (up 96 per cent), Raymond (up 95 per cent) and Suzlon Energy (up 95 per cent).

Rahul Sharma, Head of Research at stock advisory firm Equity99, says, “Varun Beverages is rapidly expanding globally by establishing manufacturing and distribution facilities in several countries. Now, it intends to expand into the Democratic Republic of the Congo and South Africa. This... [will] potentially increase its global market share.”

As for Raymond, Sharma believes that the company’s focus on growth across its various businesses is a promising sign. “This growth-oriented approach indicates that Raymond is actively working to ex-

pand and diversify its operations. This can be achieved through strategies like launching new product lines, entering new markets, or expanding existing ones,” he says.

THE LAGGARDS

Generic injectables maker Gland Pharma witnessed a massive 53.40 per cent plunge in its one-year average m-cap at ₹23,826 crore on September 30, 2023. Brokerage firm Nirmal Bang Securities sounded a note of caution on the firm, citing its annual plant shutdowns and volatile growth and margins in the recent past, owing to client as well as product-related issues.

FSN E-Commerce Ventures, parent of cosmetics-to-fashion retailer Nykaa, and Quesst Corp, are next among the laggards on the list with a decline of 45.10 and 39.60 per cent, respectively, in their one-year average m-cap. According to

Nuvama Institutional Equities, rising competition and increasing debt are overhangs on longer-term visibility and potential reasons the FSN E-Commerce Ventures stock did not re-rate recently compared with other platform peers.

Meanwhile, after reporting a drop of over 50 per cent in consolidated net profit in FY23, FSN has posted nearly 16 per cent growth in the bottom line during the first half of FY24. Among the other major laggards in terms of one-year average m-cap are National Standard (India), Tata Teleservices (Maharashtra), Metropolis Healthcare, Tanla Platforms, Aarti Industries, Adani Energy Solutions and Alok Industries with 35-38 per cent erosion in their m-cap during the BT500 study period for this year.

Sharing its views on Aarti Industries, Nuvama believes that the near-term demand would remain muted, having an adverse impact on Q3FY24, though volumes would revive from Q4FY24 onwards. “Faster pick-up in agrochem and confirmation of volume growth revival are key triggers for Aarti Industries shares,” the brokerage firm states in a report.

Due to the de-merger of Piramal Pharma in 2022, Piramal Enterprises’ one-year average m-cap fell substantially. So, it is not considered to be the biggest loser.

But what’s next? According to Alchemy’s Agarwal, domestic cyclical firms from sectors such as auto and manufacturing, industrials, capital goods, power, defence and railways, may continue to stay in the limelight over the next year. “After a long hiatus, we are already seeing strong earnings delivery by these sectors. The government’s commitment to capex and the companies’ order books provides further evidence of earnings visibility,” he says. **BT**

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